

Next, for its effectiveness as a longevity hedging tool, the SWiP account receives a score of 0. There are again no associated guarantees, and the investor is solely responsible for monitoring and adjusting the spending and investment policy to make the account last for the duration of retirement.

As for the GLiB category, the grades are mixed. These products score the highest among the three for their capability to hedge a retirement against the sequence of returns risk. As I mentioned earlier, implicit guarantees and promises are the core of GLiBs. Many of them promise *at least* the return of the initial investment, despite the performance of the market in the fragile risk zone. GLiBs are analogous to (albeit complex) long-term equity put options that can be purchased in the open market to provide downside protection on a portfolio. Thus, their embedded guarantees earn GLiBs the highest score for this attribute.

However, as I already mentioned, not all GLiBs are created equal. Only some variations offer a true form of longevity insurance that guarantees an income for life. As a result, the GLiBs fall short of the LPIA's high score on the longevity risk management attribute.

Finally, just as they vary in their ability to address longevity insurance, some GLiBs are superior to others in their effectiveness at hedging inflation. Although GLiBs do not typically provide explicit inflation protection, many offer systematic payment step-ups or increases that could potentially offset the impact of inflation. Hence, this product ranks between the SWiP and the LPIA for this attribute.

As you can see in Figure 10.1, the risk management attributes of the three retirement income products are only half of the story. The allocation among the products must be selected in the context of at least three goals: liquidity, behavioral “self-discipline,” and estate.

For example, a total allocation to a LPIA would be inappropriate if the retiree's future goal was to leave a large sum to his estate. Likewise, the product's inherent design would not allow for a fluctuating spending rate or large lump sum withdrawals for unexpected cash needs. After all, the reason LPIAs are able to offer such effective longevity insurance is the complete irreversibility of the initial lump sum payment. Thus, for the LPIA's ability to address liquidity and estate goals, the product receives a score of 0.